

TechCrunch Mobility: The Tesla robotaxi Rorschach test and Redwood's next big act

Welcome back to **TechCrunch Mobility** — your central hub for news and insights on the future of transportation. Sign up here for free — just click [TechCrunch Mobility!](#)

Less than a week ago, [Tesla robotaxis began rolling out](#) and giving rides to invited customers in Austin. As Sean O'Kane and I wrote this week, the rollout is the first big test of CEO Elon Musk's belief that it's possible to safely deploy fully autonomous vehicles using just cameras and end-to-end AI — an approach that differs from other players in the space, like Waymo.

By all accounts (including Tesla's), this is a limited first run. The operating area covers South Austin, the fleet of vehicles is fewer than 20, and there is still a safety "monitor" sitting in the front passenger seat.

That doesn't mean there was a subdued reaction. Social media provided a flurry of video and personal accounts — from riders and onlookers — of the robotaxis milling about Austin. And in numerous cases, the vehicles appeared to be violating traffic laws such as moving across double yellow lines into the oncoming traffic lane and abruptly hitting the brakes in the middle of intersections.

The videos prompted [federal safety regulators to reach out to Tesla](#) and ask for information on the deployment.

The reaction to the Tesla robotaxi rollout — and more specifically, to the videos on social — provided an informative view on just how polarizing the company is. As O'Kane quipped to me the other day, "It's like a Rorschach test."

Tesla's robotaxi rides are either evidence of the company's hubris and Musk's broken promises on automated driving, or the beginning of the end for Waymo, Uber, and Lyft.

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Here's what gets closer to the truth: One week in, and we have a lot of noise and very little signal.

Let's get into the rest of the news.

A little bird

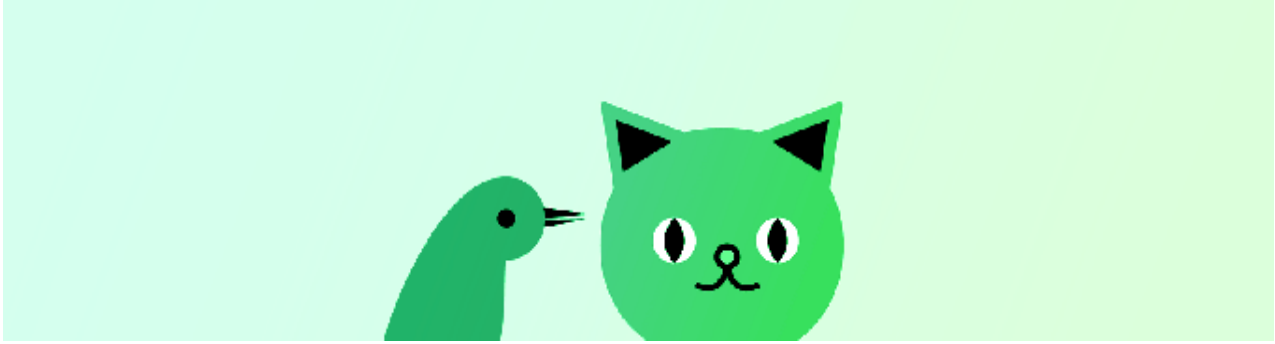


Image Credits:Bryce Durbin

On the back of a series of executive departures over the past year, we're hearing that Tesla is planning another round of layoffs across the company this month. CEO Elon Musk spent the last year working on politics, which culminated in a dramatic exit from his duties as head of DOGE. Now he's poised to bring that slash-and-burn energy to his own organization and DOGE-ifying the team at Tesla, with low performers on the chopping block, according to one source who is connected to the company.

Meanwhile, Tesla is pushing ahead on Cybercab production. One source noted it's created a pressure-cooker environment that has caused some employees to leave the company.

Got a tip for us? Email Kirsten Korosec at kirsten.korosec@techcrunch.com or my Signal at kkorosec.07, Sean O'Kane at sean.okane@techcrunch.com, or Rebecca Bellan at rebecca.bellan@techcrunch.com. Or check out [these instructions](#) to learn how to contact us via encrypted messaging apps or SecureDrop.

Deals!



Image Credits:Bryce Durbin

The news cycle this week is giving me 2016 vibes. Take this deal involving **Uber** co-founder and former CEO **Travis Kalanick**.

Kalanick is reportedly [working with investors](#) to buy the U.S. arm of Chinese autonomous vehicle company Pony AI, and Uber might even help make it happen.

That's an interesting move. In 2017, Kalanick was pressured to resign due to reports that he fostered a toxic workplace culture rife with sexual harassment, among other complaints. His resignation came a year after Uber purchased Otto, the self-driving trucks startup co-founded by Anthony Levandowski (CEO Pronto AI), Lior Ron (CEO Uber Freight), Don Burnette (founder of Kodiak Robotics), and Claire Delaunay (former Nvidia, former farm-ng CTO, and current seed investor). That deal, which was absorbed into what became Uber ATG, was controversial from the start and ultimately led to Waymo suing Uber over trade secrets theft.

Fast-forward eight years: Waymo and Uber are on friendly business terms, and Kalanick is still wondering, "What if?" The founder has been pretty vocal about saying Uber would have its own self-driving fleet had he still been in charge.

Then there's Pony, which has operations in the U.S. that are at risk due to national security rules. The company has been poised to sell off its U.S. arm since at least 2022.

Other deals worth noting ...

Nascent Materials, a new startup developing cathode materials to drive down the cost of LFP batteries, [raised \\$2.3 million](#) in a seed round led by SOSV. The New Jersey Innovation Evergreen Fund and UM6P Ventures also participated.

Raphe mPhibr, the Indian drone startup, [raised \\$100 million](#) in an all-equity Series B round led by General Catalyst.

Notable reads and other tidbits



Image Credits: Bryce Durbin

ADAS

The **National Highway Traffic Safety Administration** sent **Ford** a [lengthy list of questions](#) about its hands-free driver-assistance system BlueCruise as part of an investigation that started more than one year ago following two fatal crashes involving the software.

Autonomous vehicles

There was a time when AV startups tried to avoid talking about remote driving as a means of supporting its driverless tech. Now companies are openly talking about it. Take self-driving trucks company **Kodiak Robotics** and **Vay**, a remote driving startup out of Berlin. The two companies, which [announced a partnership](#) this week, have been working together since last year.

Waymo and **Uber** have officially entered another market. The companies, which launched the “Waymo on Uber” service in Austin earlier this year, are now operating in a [65-square-mile area of Atlanta](#).

On top of that, **Uber Eats** [launched sidewalk delivery robots](#) in Atlanta with **Serve Robotics**, an Uber spinout that went public last year.

The upshot: Momentum seems to be building for all three companies. Uber is turning into the network connector to autonomous tech (it has 18 AV partnerships globally). Waymo is the robotaxi market leader. It provides 250,000 paid robotaxi rides every week across five major cities. With Atlanta joining that list and expansions in its existing markets, that figure has surely exceeded the 300,000 mark. And Atlanta marks Serve’s fourth commercial city as it works to scale to 2,000 bots on sidewalks by the end of 2025.

Electric vehicles, batteries, & charging

Redwood Materials is launching an [energy storage business](#) that will leverage the thousands of EV batteries it has collected from its battery-recycling business to provide power to companies. And it’s starting with — what else? — AI data centers.

Rivian has laid off [140 employees](#) ahead of its launch of the more affordable R2 SUV in 2026. The manufacturing team was hit the hardest.

Tesla’s top sales executive has reportedly [gotten the boot from Elon Musk](#). Omead Afshar was one of Musk’s closest confidants who just this week was posting on X about the “historic day for Tesla”

when the company rolled out its robotaxis in Austin.

In-car tech

There was a moment around 2017 when **Intel** appeared poised to become a dominant player in automotive. The company had acquired Mobileye, and its VC arm was investing millions into the sector. It was part of the future of transportation conversation. Now Intel is saying [goodbye to its automotive architecture business](#) — including its AI-enhanced system-on-chip design for vehicles that had been set for production by the end of 2025 — and laying off most of its staff as part of a broader restructure.

Topics

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